

US: Treasury lacks political space to lower yields

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US lacks political space to follow through on commitment to low rates

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The US Treasury will struggle to hold down long-term yields, as Congress has no appetite for fiscal consolidation and the Federal Reserve is moving in the opposite direction.

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Treasury's recent measures to manage rates commit little money and rely on signaling, making them unlikely to durably change market outcomes, while tying Treasury Secretary Scott Bessent personally to exchange rate and bond-market results he cannot fully control.

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A potential Federal Open Market Committee (FOMC) move to hike interest rates, combined with continued bond-market pressure, risks renewed tensions between the Fed and the administration.

Bessent is reaching for norm-breaking tools to bring down the borrowing rate. High and rising long-term Treasury yields raise the government's financing burden and voters' cost of credit and are a market signal that has repeatedly concerned President Donald Trump. Because Congress has no appetite for fiscal consolidation (see: [Bond market more likely to constrain EU, UK, than US, Japan , 21 May 2026](#)), Bessent is seeking to influence the bond market with a broader toolkit. Recent examples include the 31 July intervention in support of the yen, a public request to enlarge a Federal Reserve credit facility for foreign and international monetary authorities, and a refunding statement that signaled it may sell fewer long-dated bonds in favor of shorter maturities. The 30-year Treasury yield stands at 5.25% and the 10-year at 4.7%, 80 and 50 basis points above election day 2024.

Treasury's primary vector of influence is through signaling mechanisms. Limited resources in Treasury's exchange stabilization fund (ESF) and the short-term market payoff from intervention constrain what Treasury can deploy. In its 31 July intervention, Treasury reportedly sold euros rather than dollars to avoid signaling that it was selling its own currency to prop up another; the size of the intervention will only be clearer once the ESF monthly financial statement for July and August are published in the upcoming weeks. The one lever Treasury holds to reduce borrowing costs without involving the Fed is shifting debt issuance toward shorter maturities, cutting the supply of more expensive long bonds, the tactic Bessent attacked when Janet Yellen held the job. It also offers limited savings: reducing the weighted average maturity of US debt from six years to four years would save at most around 0.2 percentage points off the average interest rate even before considering any adverse market impact of such a shift.

The administration's strategy in Asia is unlikely to work. The objectives of the strategy cannot all be met: Washington wants Asian currencies stronger, Asian investment in the US higher, and Asian holdings of Treasuries intact. A durably stronger yen in principle would require a smaller interest rate differential with the US, meaning the Bank of Japan would need to tighten faster. The yen has weakened 13% over the past 16 months, in part driven by Prime Minister Takaichi Sanae's more accommodative fiscal stance, suggesting fiscal consolidation may also be needed for a significant yen recovery. Until fiscal and monetary policies change course, currency interventions alone are unlikely to be effective. US interventions have had a short half-life (see chart below). The yen has reversed about one-third of its gain from the day of the intervention.

The Foreign and International Monetary Authorities (FIMA) facility is too small to matter financially. Its value is as a signal. The FIMA repo facility lets foreign central banks raise dollars against Treasury collateral instead of selling bonds outright, so Japan could fund intervention without pushing yields higher. Japan has access to cheaper sources, holding roughly \$160 billion in cash and access to financial market financing. Raising the \$60 billion per-counterparty cap is not Fed Chair Kevin Warsh's decision alone: under the FOMC's operating directive, the Foreign Currency Subcommittee—Warsh, Vice Chair Philip Jefferson, and New York Fed President John Williams—must approve it. Enlarging a crisis facility outside of a crisis also runs counter to Warsh and Bessent's stated preference for a more narrowly focused Fed.

The broader issue is that rising bond market pressures are likely to again bring to the fore tensions between the administration and the Fed. Trump has so far spared Warsh personally while criticizing what he calls a very political board, suggesting that he could return to his pressure campaign if market pressures escalate. Meanwhile, the administration has reopened its investigation into Lisa Cook, and administration allies are examining whether the pending Silicon Valley Bank review could supply cause to remove Governor Michael Barr and others. A move to hike rates in the fall would exacerbate these tensions further.

Bessent's long political leash could be shortened if he falls short of his market goals. Bessent will struggle to bring down long-term rates and to strengthen the yen, and the persistence of high US long-term rates and the reversal of around half of the immediate post-currency intervention moves in the yen suggest market participants view his interventions so far as largely ineffective. While the extent of Bessent's moves so far indicates his wide political latitude for action, that leash could get shorter if the administration falls short of its interest-rate goals and Bessent starts to lose credibility with financial markets. He clearly has the confidence of the White House for now, but that could start to erode if the policy mix is seen as ineffective.

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